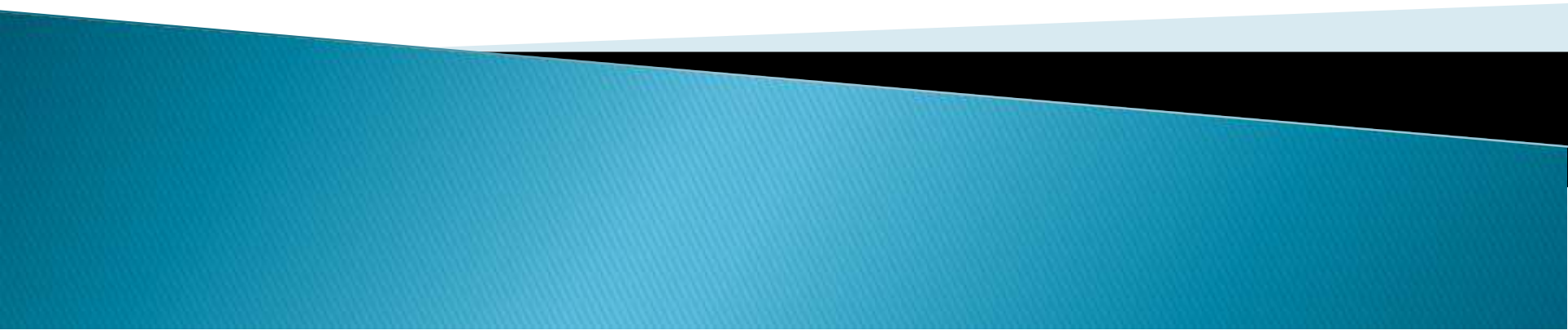
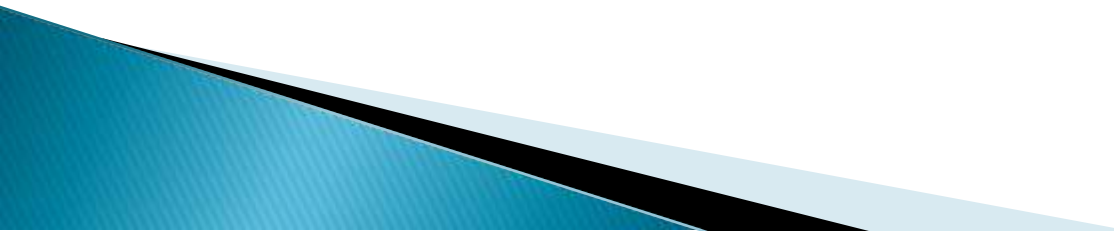


What is Economics?

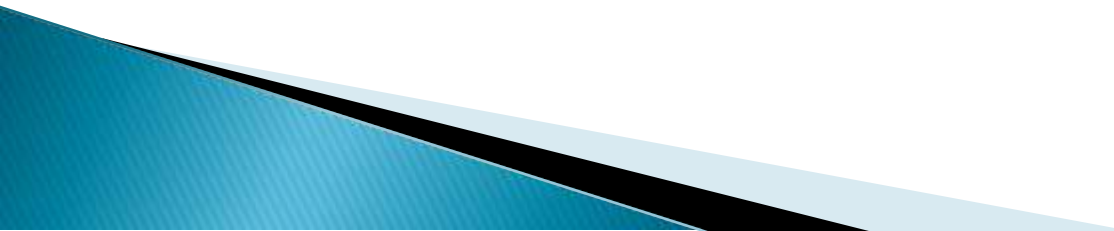
Chapter1



What is Economics?

- ▶ All economic questions arise because we want more than we can get.
 - ▶ Our inability to satisfy all our wants is called **scarcity**.
 - ▶ Because we face scarcity, we must make **choices**. This involves a tradeoff.
 - ▶ Our choices depend on the incentives we face.
 - ▶ An **incentive** is a reward that encourages an action or a penalty that discourages an action.
- 

Definition of Economics

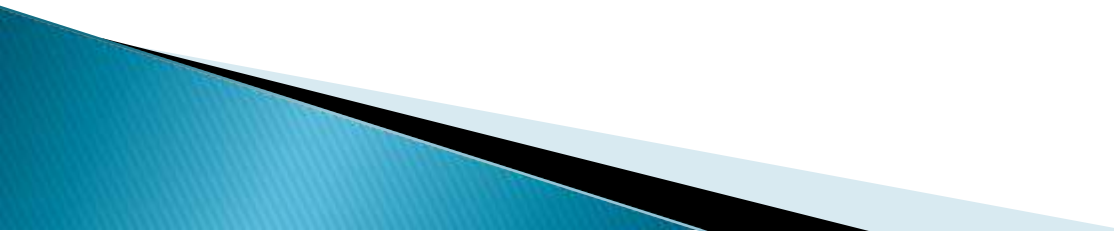
- ▶ **Economics** is the social science that studies the *choices* that individuals, businesses, governments and entire societies make, as they cope with *scarcity*, and the *incentives* that influence and reconcile those choices.
 - ▶ Economics is divided into two parts:
 1. Microeconomics
 2. Macroeconomics
- 

What, How and For Whom?

- ▶ **Goods and services** are the objects that people value and produce to satisfy human wants.

- ▶ **What?**

What we produce changes over time as changes in technology allow us to produce more.

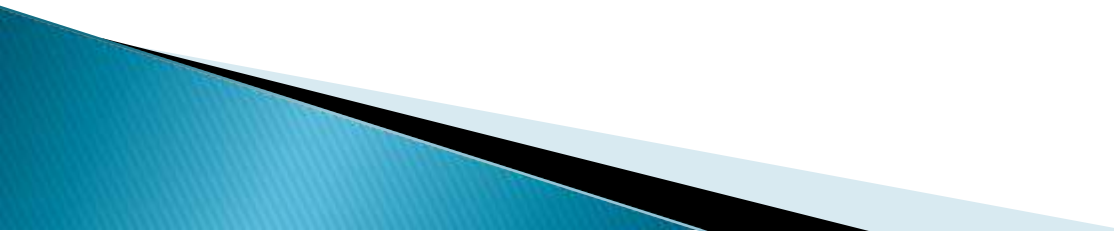


What, How and For Whom?

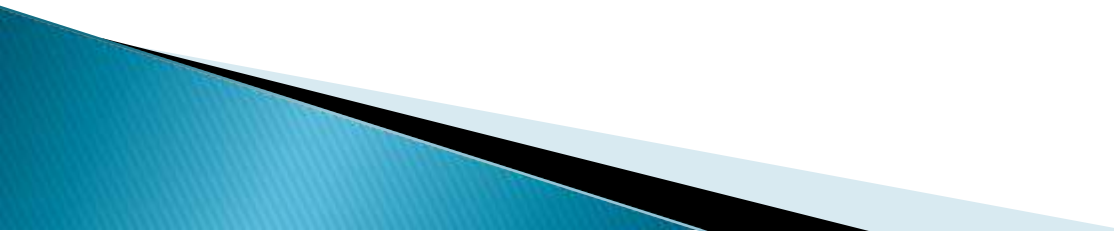
► How?

Goods and services are produced by using productive resources that are called **factors of production**.

Four categories of factors of production :

- ◆ Land
 - ◆ Labour
 - ◆ Capital
 - ◆ Entrepreneurship
- 

Factors of production:

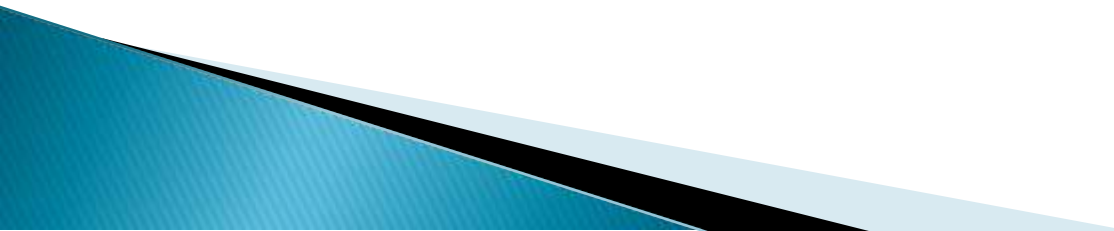
- **Land**- The “gifts of nature” that we use to produce goods and services.
 - **Labour**- The work time and work effort that people devote to producing goods and services. The *quality* of labour depends on **human capital**,
 - **Capital**- The tools, instruments, machines, buildings and other constructions that are used to produce goods and services.
 - **Entrepreneurship**- The human resource that organizes land, labour and capital.
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What, How and For Whom?

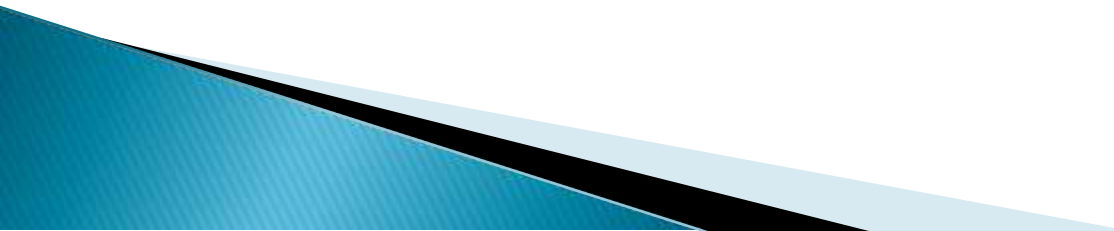
► For Whom?

- Who gets the goods and services depends on the incomes that people earn.
 - ◆ Land earns **rent**.
 - ◆ Labour earns **wages**.
 - ◆ Capital earns **interest**.
 - ◆ Entrepreneurship earns **profit**.

Trade-off

- ▶ The definition of economics and the questions that you've just reviewed tell you about the scope of economics. But they don't tell you how economists think about these questions.
 - ▶ Each of the questions what, how and for whom goods and services are produced involves a trade-off .
 - ▶ A **trade-off** is an exchange – giving up one thing to get something else.
 - ▶ Example: When you choose how to spend your weekend, you face a trade-off between studying and going out with your friends.
 - ▶ When a salary earner chooses to consume more, then he will be making less savings. Hence, trading of savings for additional consumption.
- 

Opportunity Cost

- ▶ Opportunity cost is the next best alternative forgone while making a trade-off
 - ▶ Trade-offs create opportunity costs.
 - ▶ Whenever you make a trade-off, the thing that you do not choose is your opportunity cost.
 - ▶ When choosing to consume more goods, you sacrifice the additional savings. This savings would be the opportunity cost of buying more goods to consume.
- 

Gains from Trade

- ▶ Producing only one good or a few goods is called *specialization*.
- ▶ **Comparative Advantage and Absolute Advantage**
 - **Comparative Advantage:** A person has a comparative advantage in an activity if that person can perform the activity at a lower opportunity cost than anyone else.

Gains from Trade

▶ Example:

- **Liz's Smoothie Bar:** Liz produces smoothie and salad in her high-tech bar. She can produce either a smoothie or a salad in 2 minutes; therefore, 30 smoothies or salads in an hour. If she splits her time she can produce 15 smoothies and 15 salads an hour.
- Liz's opportunity cost of producing 1 smoothie is 1 salad.
- Liz's opportunity cost of producing 1 salad is 1 smoothie.

Gains from Trade

- **Joe's Smoothie Bar:** Joe produces smoothie and salad in his small bar with old machines. He can produce 6 smoothies or 30 salads in an hour. If he splits his time he can produce 3 smoothies and 15 salads an hour.
- Joe's opportunity cost of producing 1 smoothie is 5 salads.
- Joe's opportunity cost of producing 1 salad is $\frac{1}{5}$ of a smoothie.

Gains from Trade

TABLE 2.1 Liz's Production Possibilities

Item	Minutes to produce 1	Quantity per hour
Smoothies	2	30
Salads	2	30

TABLE 2.2 Joe's Production Possibilities

Item	Minutes to produce 1	Quantity per hour
Smoothies	10	6
Salads	2	30

Gains from Trade

- ▶ **Liz's Comparative Advantage:** Liz has comparative advantage in producing smoothies.
- ▶ Her opportunity cost of a smoothie is 1 salad, whereas Joe's opportunity cost of a smoothie is 5 salads.
- ▶ **Joe's Comparative Advantage:** Joe has comparative advantage in producing salads.
- ▶ His opportunity cost of a salad is $1/5$ of a smoothie, whereas Liz's opportunity cost of salad is 1 smoothie.

Gains from Trade

- **Absolute Advantage:** A person who is more productive than others has an **absolute advantage**.
- Absolute advantage involves comparing productivities – production per hour – whereas comparative advantage involves comparing opportunity costs.
- A person who has an absolute advantage does not have a comparative advantage in every activity.

Gains from Trade

- ▶ **Absolute advantage-** A person has an absolute advantage if that person more productive than others.

TABLE 2.1 Liz's Production Possibilities

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TABLE 2.2 Joe's Production Possibilities

Item	Minutes to produce 1	Quantity per hour
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Essential Reading for Today!
Parkin, Powell, Matthews.
Economics. 10th Edition
Chapter 1

